

Savings and Withdrawals Policy

Organisation	North Pennine Community Credit Union (NPCU)
Version	2.1
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Policy owner	Head of Operations
Classification	Synthetic training material

Document control note: users must confirm status and effective date before relying on a rule. Superseded documents are retained in this synthetic corpus deliberately so that retrieval pipelines can be tested for version awareness.

1. Savings Principles

This section defines how North Pennine Community Credit Union (NPCU) applies savings principles in day-to-day operations. The control intent is to make decisions repeatable, evidenced and capable of independent review.

Operational teams must record enough evidence for a reviewer to reconstruct the decision without relying on the memory of the original colleague. Where a system rule and a documented policy appear to conflict, the current approved policy takes precedence and the discrepancy must be raised as a change or incident.

Managers are expected to monitor both individual exceptions and emerging patterns. A single exception may be reasonable; a recurring exception can indicate a control design problem, training issue, configuration defect or change in member behaviour.

Ref	Key requirement
1.1	Savings products must be administered accurately, with clear ownership, interest treatment and withdrawal rules.
1.2	Member funds may be subject to lawful holds, security interests or operational cut-offs that must be transparent.
1.3	Savings balances used as security for lending must be identifiable.

Control 1. Savings products must be administered accurately, with clear ownership, interest treatment and withdrawal rules. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

Quality assurance should test a representative sample of cases against this control. Where an error could affect a member financially, regulatory obligations, data integrity or the accuracy of management reporting, the issue must be corrected promptly and considered for wider impact assessment.

Control 2. Member funds may be subject to lawful holds, security interests or operational cut-offs that must be transparent. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

Quality assurance should test a representative sample of cases against this control. Where an error could affect a member financially, regulatory obligations, data integrity or the accuracy of management reporting, the issue must be corrected promptly and considered for wider impact assessment.

Control 3. Savings balances used as security for lending must be identifiable. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

Quality assurance should test a representative sample of cases against this control. Where an error could affect a member financially, regulatory obligations, data integrity or the accuracy of management reporting, the issue must be corrected promptly and considered for wider impact assessment.

Management information for this area should distinguish volume, value, exception rate and outcome. Trend analysis must consider whether movements are driven by portfolio growth, mix changes, operational incidents or genuine deterioration in member outcomes.

2. Payroll Savings

This section defines how North Pennine Community Credit Union (NPCU) applies payroll savings in day-to-day operations. The control intent is to make decisions repeatable, evidenced and capable of independent review.

Operational teams must record enough evidence for a reviewer to reconstruct the decision without relying on the memory of the original colleague. Where a system rule and a documented policy appear to conflict, the current approved policy takes precedence and the discrepancy must be raised as a change or incident.

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Ref	Key requirement
2.1	Payroll savings instructions must identify the member, employer and amount unambiguously.
2.2	Unmatched payroll receipts must be investigated through the suspense process.
2.3	A failed payroll collection must be distinguished from a member instruction to stop saving.

Control 1. Payroll savings instructions must identify the member, employer and amount unambiguously. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

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Quality assurance should test a representative sample of cases against this control. Where an error could affect a member financially, regulatory obligations, data integrity or the accuracy of management reporting, the issue must be corrected promptly and considered for wider impact assessment.

Control 3. A failed payroll collection must be distinguished from a member instruction to stop saving. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

Quality assurance should test a representative sample of cases against this control. Where an error could affect a member financially, regulatory obligations, data integrity or the accuracy of management reporting, the issue must be corrected promptly and considered for wider impact assessment.

Management information for this area should distinguish volume, value, exception rate and outcome. Trend analysis must consider whether movements are driven by portfolio growth, mix changes, operational incidents or genuine deterioration in member outcomes.

3. Withdrawals

This section defines how North Pennine Community Credit Union (NPCU) applies withdrawals in day-to-day operations. The control intent is to make decisions repeatable, evidenced and capable of independent review.

Operational teams must record enough evidence for a reviewer to reconstruct the decision without relying on the memory of the original colleague. Where a system rule and a documented policy appear to conflict, the current approved policy takes precedence and the discrepancy must be raised as a change or incident.

Managers are expected to monitor both individual exceptions and emerging patterns. A single exception may be reasonable; a recurring exception can indicate a control design problem, training issue, configuration defect or change in member behaviour.

Ref	Key requirement
3.1	Withdrawals require appropriate authentication and must be paid only to approved destinations.
3.2	Large or unusual withdrawals may require additional fraud checks.
3.3	Where savings secure a loan, available withdrawal value may be lower than the ledger balance.

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Control 2. Large or unusual withdrawals may require additional fraud checks. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

Quality assurance should test a representative sample of cases against this control. Where an error could affect a member financially, regulatory obligations, data integrity or the accuracy of management reporting, the issue must be corrected promptly and considered for wider impact assessment.

Control 3. Where savings secure a loan, available withdrawal value may be lower than the ledger balance. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

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Management information for this area should distinguish volume, value, exception rate and outcome. Trend analysis must consider whether movements are driven by portfolio growth, mix changes, operational incidents or genuine deterioration in member outcomes.

4. Interest and Statements

This section defines how North Pennine Community Credit Union (NPCU) applies interest and statements in day-to-day operations. The control intent is to make decisions repeatable, evidenced and capable of independent review.

Operational teams must record enough evidence for a reviewer to reconstruct the decision without relying on the memory of the original colleague. Where a system rule and a documented policy appear to conflict, the current approved policy takes precedence and the discrepancy must be raised as a change or incident.

Managers are expected to monitor both individual exceptions and emerging patterns. A single exception may be reasonable; a recurring exception can indicate a control design problem, training issue, configuration defect or change in member behaviour.

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4.1	Interest calculations must use the approved product basis and effective dates.
4.2	Statements must show transactions and balances in a form the member can reasonably understand.
4.3	Corrections must preserve an audit trail.

Control 1. Interest calculations must use the approved product basis and effective dates. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

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Control 2. Statements must show transactions and balances in a form the member can reasonably understand. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed

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Quality assurance should test a representative sample of cases against this control. Where an error could affect a member financially, regulatory obligations, data integrity or the accuracy of management reporting, the issue must be corrected promptly and considered for wider impact assessment.

Control 3. Corrections must preserve an audit trail. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

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5. Dormancy and Unclaimed Balances

This section defines how North Pennine Community Credit Union (NPCU) applies dormancy and unclaimed balances in day-to-day operations. The control intent is to make decisions repeatable, evidenced and capable of independent review.

Operational teams must record enough evidence for a reviewer to reconstruct the decision without relying on the memory of the original colleague. Where a system rule and a documented policy appear to conflict, the current approved policy takes precedence and the discrepancy must be raised as a change or incident.

Managers are expected to monitor both individual exceptions and emerging patterns. A single exception may be reasonable; a recurring exception can indicate a control design problem, training issue, configuration defect or change in member behaviour.

Ref	Key requirement
5.1	Dormant accounts remain subject to security, contact and retention requirements.
5.2	Reactivation requires appropriate identity verification.
5.3	Dormancy must not conceal active loan or complaint relationships.

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Control 2. Reactivation requires appropriate identity verification. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

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Control 3. Dormancy must not conceal active loan or complaint relationships. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

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Management information for this area should distinguish volume, value, exception rate and outcome. Trend analysis must consider whether movements are driven by portfolio growth, mix changes, operational incidents or genuine deterioration in member outcomes.

6. Management Information

This section defines how North Pennine Community Credit Union (NPCU) applies management information in day-to-day operations. The control intent is to make decisions repeatable, evidenced and capable of independent review.

Operational teams must record enough evidence for a reviewer to reconstruct the decision without relying on the memory of the original colleague. Where a system rule and a documented policy appear to conflict, the current approved policy takes precedence and the discrepancy must be raised as a change or incident.

Managers are expected to monitor both individual exceptions and emerging patterns. A single exception may be reasonable; a recurring exception can indicate a control design problem, training issue, configuration defect or change in member behaviour.

Ref	Key requirement
6.1	Monthly savings MI should include balances, net inflow, payroll contribution success, withdrawals, dormant balances and concentration.
6.2	Unexpected changes in payroll savings success should be reconciled with lending payroll collections where the same employer file is used.
6.3	Material suspense balances require escalation.

Control 1. Monthly savings MI should include balances, net inflow, payroll contribution success, withdrawals, dormant balances and concentration. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

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Control 2. Unexpected changes in payroll savings success should be reconciled with lending payroll collections where the same employer file is used. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

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Control 3. Material suspense balances require escalation. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

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